

certain rather important points of difference that exist between common stocks as a class and speculative senior issues.

Low-Priced Bonds Associated with Corporate Weakness. The limitation on the profit possibilities of senior securities has already been referred to. Its significance varies with the individual case, but in general we do not consider it a controlling disadvantage. A more emphatic objection is made against low-priced bonds and preferred stocks on the ground that they are associated with corporate weakness, retrogression, or depression. Obviously the enterprise behind such a security is not highly successful, and furthermore, it must have been following a downward course, since the issue originally sold at a much higher level. In 1928 and 1929 this consideration was enough to condemn all such issues absolutely in the eyes of the general public. Businesses were divided into two groups: those which were successful and progressing, and those which were on the downgrade or making no headway. The common shares of the first group were desirable no matter how high the price; but no security belonging to the second group was attractive, irrespective of how low it sold.

This concept of permanently strong and permanently weak corporations has been pretty well dissipated by the subsequent depression, and we are back to the older realization that time brings unpredictable changes in the fortunes of business undertakings.² The fact that the low price of a bond or preferred stock results from a decline in earnings need not signify that the company's outlook is hopeless and that there is nothing ahead but still poorer results. Many of the companies that fared very badly in 1931–1933 regained a good part of their former earning power, and their senior securities recovered from exceedingly low prices to investment levels. It turned out, therefore, that there was just as much reason to expect substantial recoveries in the quotations of depressed senior securities as in the price of common stocks generally.

Many Undervalued in Relation to Their Status and Contractual Position. We have already mentioned that the unpopularity of speculative senior securities tends to make them sell at lower prices than common stocks, in relation to their intrinsic value. From the standpoint of the intelligent buyer this must be considered a point in their favor. With

² But see later references to *The Ebb and Flow of Investment Value*, by Mead and Grodinski, published in 1939, which strongly espouses the thesis stated in the previous paragraph (Chap. 28 and Appendix Note 71).